

DK Coffee Lab, Part 2 (*fictional*)

For the last six months, Denessa King spent her evenings and weekends conducting market research and planning for her coffee shop, DK Coffee Lab. King's analysis of the market in Springville (the location for her coffee shop) gave her confidence that there was a viable opportunity to open the cozy, community-centered café she envisioned. She was ready to quit her day job at a marketing firm and get ready to launch her own business.

King knew she would have to invest all of her savings—\$25,000—in the coffee shop, but that still left her with a significant amount of money to raise. Her estimated startup costs of \$45,900 (see Appendix) meant she needed at least \$20,900 in external financial capital (funding), even without the costs of hiring any employees or paying herself a salary.

Where would a 27-year-old first-time entrepreneur be able to obtain \$20,900 in startup funding—and how would she convince these potential funders to finance her dream?

Possible Funding Sources

Like many hopeful entrepreneurs, King was a faithful fan of *Shark Tank*, the ABC TV show where founders pitch their ideas to “sharks”—experienced high net worth businesspeople who might invest in the featured companies for a percentage ownership stake. In other words, the sharks offer to provide thousands of dollars in startup funding in exchange for owning 10%, 15%, 50%, or even more of the business, and they often take on a meaningful role in managing the business, sharing in future profits.

Shark Tank makes for exciting TV, and some of the businesses (such as Bombas) have become very successful with their help. But when she looked into it, King learned that applying to appear on the show was a very time-consuming process; if she got past the first phase of casting, she'd have to complete a lengthy written application and make a casting video (Caruso 2023). Plus, fewer than 1% of applicants actually appear on the show. King knew she would have to move on to other ideas. She made a list of all possible funding options:

- Pursue a bank loan
- Charge her credit card
- Borrow from family or friends
- Ask family or friends to invest and become part owners
- Secure an angel investor
- Run a crowdfunding campaign
- Apply for a community grant

Pursuing a bank loan seemed like a good first step, and King’s bank was advertising loans at 5% interest.¹ She met with a loan officer at Springville Community Bank, but the outcome was disappointing. Although the loan officer loved the idea of a new local coffee shop, she told King that the bank would not lend to any new business without proven revenue and a track record for repayment. Although King had a good personal credit history, in part because she had repaid her car loan on time and never missed a credit card payment, she had no experience as a business owner. And while she had estimated her future revenue, she had no proven revenue to show the bank.

King knew she would likely need to charge some expenses to her personal credit card, but she wanted to keep that dollar amount as low as possible to avoid fees or higher interest rates. The interest rate on her card was 22%, which could result in hundreds of dollars in extra expenses for every \$1,000 charged. If she piled up too much credit card debt, it could hurt not only the café but King’s own ability to borrow later if she wanted to buy a house or make another significant investment.

She wanted to find an angel investor—a wealthy individual (like the “sharks”) who would give her funding in exchange for partial ownership. Unfortunately, she struck out there too. Instead, she decided to talk with her close college friends, her older brother, and her parents to see if they would be willing to invest in her dream, or lend her money with the promise of repayment.

After a few informal conversations where she shared her idea and her friends expressed doubts, King decided to prepare a professional presentation—as if she were going on *Shark Tank*—and pitch her idea to her family. She invited them over for sample lattes and espressos, served gourmet sandwiches, shared enthusiastic quotes from prospective customers, and outlined her financial projections. Her parents and her brother agreed to invest \$10,000 (\$5,000 each), in exchange for a 30% ownership share (15% each) in the business. Finally, she was getting close (Table 1).

Table 1. Sources of Startup Funding

Funding Sources	Amount
Savings	\$25,000
Family	\$10,000
Community Grant	--
Personal Credit Card	--
Other	--
STARTUP FUNDING AVAILABLE	\$35,000

¹ Interest is the price of borrowing money. A borrower must repay the principal (the amount of the loan) and additional money, usually expressed as a percentage of the principal. Higher interest rates result in a higher cost to the borrower.

King knew she didn't want to put more than \$2,500 on her personal credit card, which meant she still needed at least \$8,400 to meet her goal. She looked into several crowdfunding sites, like IndieGoGo and Kickstarter, but she learned that there would be fees involved, she'd probably need to hire a promotion company, and crowdfunding is geared more toward tech startups and new product launches. So, she started researching different types of grants.

It turned out King would qualify for several types of grants. Although applying for the grants would take time, the best part of grant funding is that it doesn't need to be repaid—and the funders do not take an ownership share in the business. King researched which grants she qualified for, applied for more than 10 different grants, and eventually received \$10,000 in grant money from her Community Economic Development Council, which meant she could limit her credit card use.

As long as her revenue and cost predictions were correct, she now had enough funding to start DK Coffee Lab and keep it running for three months, at which point she hoped the business would be profitable and sustainable.

Appendix:

Table 2. King's Startup Costs (From Topic 3.4 Case)

Startup Costs		Cash Flow
Expenses		
Exp	Legal/Licensing (\$2,500)	
Exp	Insurance (first quarter in advance) (\$900)	
Exp	Supplies/Packaging (\$3,000)	
Exp	Marketing (\$2,500)	
Exp	Occupancy Expenses (deposit +1 month) (\$6,000)	
SUBTOTAL		(\$14,900)
Working Capital		
WC	Inventory (\$2,500)	
SUBTOTAL		(\$2,500)
Fixed Assets		
FA	Furniture (\$7,500)	
FA	Coffee Machines (\$8,000)	
FA	Oven/Microwave (\$2,000)	
FA	Refrigerator/Freezer (\$7,500)	
FA	Dishwasher (\$2,000)	
FA	Technology (point-of-sale system) (\$1,500)	
SUBTOTAL		(\$28,500)
TOTAL STARTUP COSTS		(\$45,900)

References

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